

THE BUZZ

ALLIANZ EXIT

PIVOTAL MOMENT

The key question for the Indian insurance sector now is whether composite licences will drive consolidation or would 100% FDI attract new entrants

BY TEENA JAIN KAUSHAL



(Left) Oliver Bäte, CEO and chairman of global insurance and asset management company Allianz SE;
(Right) Sanjiv Bajaj, Chairman and Managing Director, Bajaj Finserv

► **INDIA'S INSURANCE MARKET** is at an inflection point. Germany-based Allianz ended its long-standing partnership, which began in 2001, with Bajaj Life and Bajaj General Insurance companies, selling its 26% stake to Bajaj Finserv

for ₹24,180 crore (EUR 2.6 billion). Shortly after this development, Prudential plc, a UK FTSE 100-listed company, announced its plans to set up a joint venture with Vama Sundari Investments (Delhi) Private Limited, a promoter compa-

ny of the HCL Group, to establish a standalone Indian health insurance business.

Insurance penetration in India is at just 3.7%, well below the global average. With 100% foreign direct investments (FDI) now allowed,